

Section 125 Compliance Test

PAYCHEX

Compliance Test Summary:				<u>Current</u>	<u>Proposed</u>
25% Key Employee Test:				In Compliance (0.00%)	In Compliance (0.00%)
55% Average Benefits Test:				In Compliance (100.00%)	In Compliance (100.00%)
25% Owners Test:				In Compliance (0.00%)	In Compliance (0.00%)

EmpNo	Name	Transaction Period	Category	Current Per Pay	Proposed Per Pay	Quarter 1	Quarter 2	Quarter 3	Quarter 4	Year-to-Date
Adams, Torey L xxx-xx-3743										
	Unreimbursed Medical	01/01/2019 to 12/31/2019	Pre-Tax	101.92	101.92	611.52	713.44	611.52	713.44	2,649.92
Total				0.00	0.00	611.52	713.44	611.52	713.44	2,649.92
Clarcq, Sharon R xxx-xx-5580										
	Dental	01/01/2019 to 11/11/2019	Pre-Tax	14.03	14.03	84.18	98.21	84.18	42.09	308.66
Total				0.00	0.00	84.18	98.21	84.18	42.09	308.66
Craft, Karen C xxx-xx-7080										
	Dental	11/11/2019 to 12/31/2019	Pre-Tax	35.40	35.40	0.00	0.00	0.00	177.00	177.00
Total				0.00	0.00	0.00	0.00	0.00	177.00	177.00
Dillman, Edward xxx-xx-8244										
	Unreimbursed Medical	01/01/2019 to 12/31/2019	Pre-Tax	30.77	30.77	184.62	215.39	184.62	215.37	800.00
Total				0.00	0.00	184.62	215.39	184.62	215.37	800.00
Johnson, Stevenson xxx-xx-0883										
	Unreimbursed Medical	01/01/2019 to 04/12/2019	Pre-Tax	44.23	44.23	259.62	88.46	0.00	0.00	348.08
Total				0.00	0.00	259.62	88.46	0.00	0.00	348.08
Plotkin, Vera xxx-xx-8676										
	Health	01/01/2019 to 12/31/2019	Pre-Tax	0.00	0.00	504.72	588.84	504.72	588.84	2,187.12
	Dental	01/01/2019 to 12/31/2019	Pre-Tax	14.46	14.46	86.76	101.22	86.76	115.68	390.42
Total				0.00	0.00	591.48	690.06	591.48	704.52	2,577.54
Robinson, Mark D xxx-xx-3991										
	Health	07/22/2019 to 12/31/2019	Pre-Tax	114.66	114.66	0.00	0.00	573.30	1,031.94	1,605.24
Total				0.00	0.00	0.00	0.00	573.30	1,031.94	1,605.24
Shields, George R xxx-xx-0898										

Branch/Client: 0027-0827G139 The KL Group Inc
Organization Type: S-CORP
Plan Effective Date: 01/20/2006
Plan Year of Test: 2019

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EmpNo	Name	Social Security No.	Transaction Period	Category	Current Per Pay	Proposed Per Pay	Quarter 1	Quarter 2	Quarter 3	Quarter 4	Year-to-Date
	Shields, George R										
	xxx-xx-0898										
	Dental		01/01/2019 to 02/19/2019	Pre-Tax	50.09	50.09					
	Dental		02/20/2019 to 12/31/2019	Pre-Tax	34.68	34.68	208.08	242.76	208.08	277.44	936.36
	Total				0.00	0.00	208.08	242.76	208.08	277.44	936.36
	Spatola Jr, Robert F										
	xxx-xx-6316										
	Dependent Care		01/01/2019 to 06/28/2019	Pre-Tax	192.31	192.31	1,153.86	1,346.17	96.15	0.00	2,596.18
	Unreimbursed Medical		01/01/2019 to 06/28/2019	Pre-Tax	20.00	20.00	120.00	140.00	10.00	0.00	270.00
	Total				0.00	0.00	1,273.86	1,486.17	106.15	0.00	2,866.18
	Total for all Employees:				0.00	0.00	3,213.36	3,534.49	2,359.33	3,161.80	12,268.98

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	55% Average Benefits Test:	In Compliance (100.00%)	In Compliance (100.00%)
	25% Owners Test:	In Compliance (0.00%)	In Compliance (0.00%)

25% Key Employee Test

The non-taxable benefits provided to key employees must not exceed 25% of such benefits provided to all employees under the plan. The summary below provides the contributions of Key and non-Key employees. Please refer to the Section 125 Plan Administration Instructional Packet for more details.

YTD Key Contributions:		Year-End Estimate Key Contributions:		<u>Current</u>	<u>Proposed</u>
YTD Non-Key Contributions:	12,268.98	Year-End Estimate Non-Key Contributions:		12,268.98	12,268.98

55% Average Benefits Test

The average Dependent Care benefits provided to all non-HCE's must equal or exceed 55% of the average Dependent Care benefits received by the HCE's. The summary below provides the contributions of HCE and non-HCE employees. Please refer to the Section 125 Plan Administration Instructional Packet for more details.

Number of HCEs:		1	YTD HCE Contributions:	0.00	Year-End Estimate HCE Contributions:	<u>Current</u> 0.00	<u>Proposed</u> 0.00	Maximum Average HCE Contribution:	181.55
Number of NHCEs:		26	YTD NHCE Contributions:	2,596.18	Year-End Estimate NHCE Contributions:	2,596.18	2,596.18	Average NHCE Contribution:	99.85
HCE = Highly Compensated Employee					NHCE = Non-Highly Compensated Employee				

25% Owners Test

The Dependent Care benefits provided to Owners must not exceed 25% of the Dependent Care benefits received by non-Owners. The summary below provides the contributions of Owners and non-Owners. Please refer to the Section 125 Plan Administration Instructional Packet for more details.

YTD Owner Contributions:		0.00	Year-End Estimate Owner Contributions:	<u>Current</u> 0.00	<u>Proposed</u> 0.00
YTD Non-Owner Contributions:		2,596.18	Year-End Estimate Non-Owner Contributions:	2,596.18	2,596.18